

Company Vacation Policy

Document control	Details
Company	Northstar Solutions Ltd.
Directive ID	95315332
Version	1.0
Status	Superseded by version 2.0
Classification	Internal
Policy owner	People Operations
Approved by	Executive Committee
Approval date	2023-10-20
Effective date	2024-01-01
Superseded on	2026-01-01

1. Purpose

This directive establishes a consistent process for earning, requesting, using, and carrying over paid annual vacation. The company expects employees to take regular time away from work for rest and recovery.

2. Scope

This directive applies to all employees. Entitlement for part-time employees is prorated according to contracted working time. Contractors and agency workers are not covered unless their contract states otherwise.

Statutory leave, collective agreements, and employment contracts take precedence where they provide a different or greater entitlement.

3. Vacation year and entitlement

The vacation year runs from January 1 through December 31.

Full-time employees receive:

- 20 working days per year during their first four completed years of service; and
- 25 working days per year from the fifth service anniversary onward.

Employees who start or leave during the year receive a prorated entitlement. Vacation accrues monthly and may be used after the first full month of employment.

Public holidays, sick leave, parental leave, and other statutory leave are not deducted from annual vacation.

4. Requesting vacation

Vacation must be requested in the HR system and approved before travel or other commitments are made.

- Requests for one to four working days should be submitted at least five calendar days in advance.

• Requests for five to nine working days should be submitted at least ten calendar days in advance.
Northstar Solutions Ltd. | Internal 95315332-company-vacation-policy-v1

- Requests for ten or more working days should be submitted at least 30 calendar days in advance.

Managers should respond within seven calendar days. Requests during popular periods are normally considered in the order received while maintaining minimum team coverage.

5. Planning and minimum leave

Employees should submit an outline of their planned vacation by March 31. Managers may ask employees to adjust dates to meet critical operational needs.

Employees are expected to take at least one period of ten consecutive working days each year, unless local practice or personal circumstances make this impractical.

6. Carryover

Up to five unused vacation days may be carried into the next vacation year. Carried days must be used by March 31 and are used before the new year's entitlement.

Unused days above the five-day limit expire at year-end unless:

- the employee could not take leave because of certified long-term sickness, protected leave, or a documented company requirement; or
- local law requires a longer carryover period.

Managers must not repeatedly prevent an employee from taking earned vacation.

7. Changes and cancellation

An employee may change or cancel approved vacation with the manager's consent. The company may cancel approved vacation only for a serious and unforeseen business need. In that case, the business unit will reimburse reasonable, non-refundable personal travel costs supported by receipts.

8. Sickness during vacation

Vacation days may be converted to sick leave when the employee:

- notifies the manager as soon as reasonably possible;
- follows the normal sickness-reporting procedure; and
- provides a medical certificate within three calendar days where legally permitted.

Converted vacation days are returned to the employee's balance.

9. Pay and termination

Vacation is paid at the employee's normal base rate, including other elements required by local law. The company does not normally pay cash instead of vacation during employment.

On termination, unused accrued vacation is paid or scheduled during the notice period as permitted by law. Vacation taken beyond the accrued balance may be deducted from final pay where legally permitted and authorized.

10. Responsibilities

Employees must maintain an accurate leave record, plan handovers, and set an out-of-office message. Managers must apply this directive consistently, protect team coverage, and encourage employees to use their entitlement.

People Operations maintains leave balances and advises on statutory or exceptional cases.

11. Non-compliance and exceptions

Absence without prior approval may be treated as unauthorized absence. Exceptions require written approval from the People Operations Director.

12. Version history

Version	Effective date	Summary
1.0	2024-01-01	Initial company-wide annual vacation directive.